IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - II, CHENNAI

CP(CAA)/18(CHE)/2022

In

CA(CAA)/116/CHE/2021

(Under Sections 230-232 of the Companies Act, 2013 read with applicable Provisions of the Insolvency and Bankruptcy Code, 2016 and Regulation 2B of Insolvency and Bankruptcy Board of India (Liquidation Process) Regulations, 2016)

In the matter of ***M/s. Everwin Textile Mills Private Limited***

J. Manivannan
Liquidator of *M/s. Everwin Textile Mills Private Limited*
Reg Off:-
53B, 8/330, Vishalakshi Nagar, Fourth Cross Street,
Santhosapuram, Chennai – 73 ...*Petitioner*

Order Pronounced on 16th March, 2022

CORAM:
JUSTICE (RETD.) S. RAMATHILAGAM, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Petitioner : J Manivannan, Liquidator in Person

ORDER

Per: **ANIL KUMAR B, MEMBER (TECHNICAL)**

The instant Company Petition in CP(CAA)/18/(CHE)/2022 is a sequel to CP/422/IB/2018, filed by the Liquidator of M/s. Everwin Textile Mills Private Limited, under Section 230 of the Companies Act, 2013 read with applicable Provisions of the Insolvency and Bankruptcy Code, 2016 and Regulation 2B of Insolvency and Bankruptcy Board of India (Liquidation Process) Regulations, 2016 for sanction of a Scheme of Arrangement i.e. a Scheme of

Compromise and Arrangement between M/s. Everwin Textile Mills Private Limited and its Creditors and members and for reconstruction of its Capital.

2. PREFACE

2.1. M/s. Everwin Textile Mills Private Limited was incorporated on 25.11.1994 which was effectively functioning with capacity of 15120 spindles and production capacity of 4500 kgs per day from its existing yarn plant at No. 232/A, Nanje Gounden Pudur, Achipatti Post, Coimbatore, Tamil Nadu - 642 002. The company for long time was commanding the market for its products and brand value with interest rate as high as 16% considering the interest of lenders as primary. However, due to certain unforeseen circumstances, the textile industries in Tamil Nadu especially those industries in and around Tirupur are struggling in the recent years. The factors leaving way for such struggles are as such a) crash in raw material prices and continued volatility in Raw material prices, b) Ad-hoc ban on export of yarn which resulted in yarn price crash and variation, c) closure of dyeing units in Tirupur, d) high interest rate, e) 14-16 hours of power cut f) Downward trend in European Market, g) inflations against major currencies h) higher inflation and increase in interest rate, i) frequent change in government policies. Getting caught in

the trap the Company had eventually turned into a Non Performing Asset in the books of the lenders.

2.2. Subsequent to which the company had approached the Lendors namely Punjab National Bank (PNB) and EARC with a Debt Restructuring Proposal during 2014. Accordingly, EARC had duly considered the proposed debt restructure however, PNB being the other lender never considered the proposal. As a result of continuous downturn in the industry and frequent power cut till the end of 2016 coupled with no support from one of the lender viz., PNB had caused the Company to bleed despite which due to the support of EARC the other lender the company is able to carry out its operations till date. Apart from the aforesaid factors, PNB in the meantime had filed a suit before the Debt Recovery Tribunal following issuance of notices for possession of properties of the applicant and the guarantors. Concurrently, the Insolvency and Bankruptcy Code, 2016 was enacted by the Government of India based on which the PNB in the capacity of a Financial Creditor had approached this Adjudicating Authority by way of an application in CP/422/IB/2018 subsequent to which an order dated 29.10.2018 admitting the CIRP of the Corporate Debtor *(M/s. Everwin Textile Mills Private Limited)* along with appointment of the Applicant/Liquidator herein as the IPR was passed by this Adjudicating Authority.

3. CORPORATE INSOLVENCY RESOLUTION PROCESS & LIQUIDATION PROCESS OF M/S. EVERWIN TEXTILE MILLS PRIVATE LIMITED

3.1 After the aforesaid CIRP order passed, the Promoter cum Equity-shareholder and Ex-Director of the Corporate Debtor has submitted his Expression of Interest (EoI) to the Resolution Professional in response to the EoI invited. The Resolution Professional in accordance with provision of Section 29A of the IBC, 2016 rejected the said Expression of Interest as the resolution applicant is a promoter. Aggrieved by the decision of the Resolution Professional, the promoters came before this Adjudicating Authority vide MA/347/IB/2019 in CP/422/IB/2018, in which this Adjudicating Authority vide order dated 01.05.2019 directed the Resolution Applicant to consider the Expression of Interest submitted by the promoters considering the fact that the Corporate Debtor is falling under the category of MSME upon verification of the original certificate produced. Accordingly, directed the Resolution Applicant to submit the resolution plan within 60 days from the date of the order.

3.2 The Resolution Applicant submitted the binding resolution plan on 13.06.2019, the Resolution Professional after verification of the plan, fixed 26.09.2019 as the date for CoC meeting. Meanwhile the CoC member namely the Punjab National Bank (PNB) filed an appeal against the order dated 01.05.2019 before the Hon'ble

NCLAT challenging the eligibility of promoters for submitting the binding resolution plan and seeking stay on the operation of the said Order. The same was rejected by upholding this Adjudicating Authority's Order. Subsequently, the plan submitted by the Promoter Resolution Applicant was put before the 5th CoC Meeting held on 22.10.2019, in which the Promoter Resolution Applicant had sought revision of plan, which was acceded by the CoC thereupon the revised plan submitted by the Promoter Resolution Applicant was put before the 6th CoC meeting held on 14.11.2019. A Representative of PNB had rejected that the proposed plan expressing that the plan value is very low compared to the amount due to them. The Resolution Professional had sought justification/ valid reasons for the rejection. However, no such reason was provided by PNB. On the other hand EARC who holds 47.52% of the voting rights considering the interest of all the stakeholders, employees and workmen had given its assent subject to removal of differential treatment in the plan.

3.3 Since no Resolution Plan was approved by the CoC within the stipulated period an application for liquidation was moved before this Adjudicating Authority. Whereby Liquidation of the Corporate Debtor along with appointment of the applicant herein as the Liquidator was ordered vide order dated 08.05.2020 in MA/1413/2019. The Applicant/Liquidator based on the claims received upon publication as per the provisions of the Code had

duly constituted the Stakeholders Consultation Committee. The Applicant/Liquidator herein considering the Indian Textile Industry and in view of absence of any external EoI after due discussion and deliberation had considered the promoter/ex-director to submit the Scheme under section 230 of the Companies Act, 2013. The Scheme of Compromise and Arrangement submitted by the promoter was placed before the SCC for its consideration and approval. The result of the e-voting was that, the scheme was unanimously approved by the secured Financial Creditors and Members of the Corporate Debtor. Whereas the tax authorities had dissented to the scheme. Despite which the total voting share in favour of the scheme is 86.32%. The scheme was approved by overwhelming majority of the SCC. Under the circumstances, it is evident that the maximum realisation or proceeds could be achieved only through a holistic Scheme of Arrangement under Section 230 of the Companies Act, 2013. Hence, the present Petition is filed by the Liquidator seeking Approval of the Scheme of Compromise or Arrangement as proposed by the Promoter/Ex-Director.

4. FIRST MOTION APPLICATION FILED BY THE LIQUIDATOR OF M/S. EVERWIN TEXTILE MILLS PRIVATE LIMITED UNDER SECTION 230 OF COMPANIES ACT, 2013

4.1 The Liquidator, after obtaining requisite approval from the Secured Creditors in relation to the Scheme of Arrangement,

had filed CA(CAA)/116(CHE)/2021 under Section 230 of the Companies Act, 2013 before this Tribunal and had sought various reliefs including dispensation to convene the meeting, etc. The Application was appended with written consent by way of affidavits to the proposed scheme by all the shareholders, and secured creditor. In addition to which the secured creditors have voted in favour of the scheme by way of e-voting conducted by the Liquidator. However, one creditor who voted against the scheme later by way of email had requested the liquidator to consider their entire payment under the scheme proposed. Thereupon this Tribunal vide Order dated 06.01.2022, had considered it fit to dispense with the meeting of the Secured Creditors, Unsecured Creditors and Equity Shareholders in respect of the Corporate Debtor under Section 230 of the Companies Act, 2013. Accordingly, the Liquidator was directed to file second motion Application for sanction of Scheme.

4.2 Based on the aforesaid facts and circumstances, the Liquidator had submitted that the Scheme of Arrangement or Compromise as proposed by the promoter/Ex-Director of the Corporate Debtor the following reliefs;

a) *For admission of the Petition filed by the Petitioner before the Hon'ble Tribunal for being heard.*
b) *That the Scheme of Compromise and Arrangement proposed by the promoter namely K. Periasamy for settlement of debts including the claim of its lenders that is enclosed as Annexure -8 hereto may be sanctioned by*

the Hon'ble NCLT to be binding on all the stakeholders of the Corporate Debtor and the said Corporate Debtor namely, Everwin Textile Mills Private Limited (in Liquidation)

c) *That upon making the entire payment to the secured creditors as mentioned in the scheme, the Liquidator shall hand over the management to the scheme of proponent.*

d) *To pass any other order or directions, as may be deemed fit in the facts and circumstances of the case, may also be granted.*

5. SCHEME OF COMPROMISE AND ARRANGEMENT

5.1. ABOUT THE SCHEME PROPONENT

5.1.1 One Mr. K. Periasamy is a Promoter cum Equity Shareholder and Ex-Director of the Company who had submitted his Expression of Interest on 04.02.2019 to the Resolution professional in response to the invitation of EoI dated 21.05.2019 made by the Resolution professional. The said plan was rejected by the Resolution professional considering the fact that the Promoter/Ex-Director is ineligible to submit a Resolution Plan. Aggrieved by the same the Promoter had approached this Adjudicating Authority as discussed supra. In the present situation the proponent being one of the equity shareholder cum promoter and ex-director of the Corporate Debtor is eligible as per the direction of this Adjudicating Authority is entitled to submit the scheme under Section 230 of the Companies Act, 2013 read with applicable provisions of the Insolvency and Bankruptcy Code, 2016

during the Liquidation Process had proposed the appended scheme for settlement of debts including the claim of the lenders. Including Personal Guarantee for the outstanding dues of the Corporate Debtor to its Secured Creditors.

5.2 SECURITY DEPOSIT BY THE PROPONENT

It is submitted that the proponent of the scheme has agreed to deposit Rs. 1.70 Crore as a performance Security Deposit out of which Rs. 1.50 Crore was deposited with the applicant as on the date of the filling of this application the proof of bank statement to this effect is enclosed as Annexure A11 to the typeset filled along with the application.

5.3 RATIONALE OF THE SCHEME

The Present Scheme upon the approval and implementation will have the following benefits for all the stakeholders:

a) Secured Creditor-

i. Aggregate Bank repayments under the Scheme would be greater than the expected recovery under Liquidation.
ii. Certainty and timeline of repayment is defined in the scheme which is totally uncertain in case of Liquidation.
iii. Substantial financial loss to lenders can be avoided as negligible value can be recovered by them when assets are sold as scrap brick by brick under the liquidation Process.
iv. No additional funding from existing lenders.

b) Unsecured Creditors-

i. The Unsecured Creditors will be able to recover a portion of their dues in terms of the scheme as compared to the NIL recovery in liquidation under IBC.

ii. Continued contribution to the government and payment of statutory dues in terms of the scheme.

c) Shareholders-

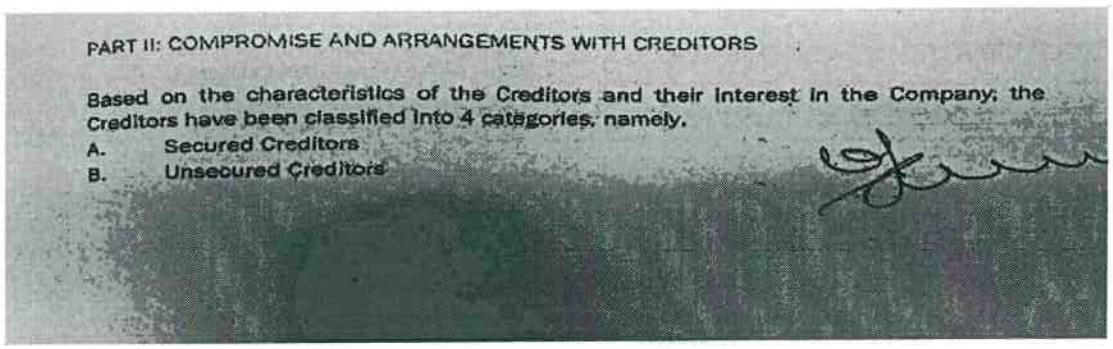
i. Shareholders holding equity capital to benefit in case of revival post implementation of the scheme as against zero value in case of admission in IBC.

d) Company's Operations-

i. Revival of Operations on backing of industry upturn and resolution of the Company specific issues.
ii. Company to continue as going Concern. This will help keep 200 direct employments.
iii. Revival of the Company will increase the economic value of productive plant and machinery and at the same time it will generate future employment.
iv. The livelihood of around 300 families indirectly associated with the Company through its transporters, security agencies, dealers, vendors, etc., will be safeguarded.
v. The creative value potential of the assets will not be lost.
vi. The economic value of productive plant and machinery will be safeguarded.
vii. No loss to exchequer in terms of GST, Custom Duty, Income Tax, etc.,

5.4 TERMS OF REPAYMENT AND TREATMENT UNDER THE SCHEME

The terms of repayment and treatment of such class of creditors in the scheme are detailed as below-


PART II: COMPROMISE AND ARRANGEMENTS WITH CREDITORS

Based on the characteristics of the Creditors and their interest in the Company; the Creditors have been classified into 4 categories, namely.

A. Secured Creditors
B. Unsecured Creditors

C. Workmen and Employees
D. Statutory Creditors
E. Other Creditors

According to List of Stakeholders (LOS) of the Company as on cut-off date as per Regulation 31 of Insolvency and Bankruptcy Board of India (Liquidation Process) Regulations, 2016 provided by the Liquidator, total claims filed by the all Creditors of the Company amount to INR 21,95,42,905/- out of which claims aggregating to INR. 21,95,42,905/- (the Admitted Debt) have been verified and admitted for the purposes of Liquidation by the Liquidator:

a) The verified and admitted claims of the Secured Creditors (the "Secured Creditors") amount to INR 151.70 Crores /-;
b) The verified and admitted claims of the Unsecured Creditors (the "Unsecured Creditors") amount to INR NIL.
d) The verified and admitted claims of the Statutory Creditors (the "Statutory Creditors") amount to INR 25.10 Crores.
e) The verified and admitted claims of the Workmen and Employees (the "Workmen and Employees") amount to INR NIL.

The terms of repayment and treatment of each such class of creditors in the Scheme is detailed below:

A. SECURED CREDITORS

i. Balance outstanding as per the LOS as on cut-off date shall be treated as the crystallized amount. Such amount, as taken from the LOS, has been stated against the name of the respective 'Secured Creditors' in Annexure A to the Scheme.

ii. For Settlement and payment of crystallized amount as per sub clause (i) above, 10.87% of the Crystallized amount to the extent of INR 17,00,00,000/- shall be the amount settled. Amount so settled shall be payable to the respective Secured Creditor within 30 days from the date of effective date.

iii. Waiver of all penal charges (including devolvement charges)/ interest charged on delay in payment of instalments/ interest from/ on the cut-off date till the date of implementation of the Scheme.

iv. Security and Guarantee details - All existing securities and guarantees to continue to until the settlement and payment of dues as per sub-clause (i).

v. If any amount that is paid by the erstwhile company or the liquidator or the guarantor or that has been appropriated by the creditor after the cut of date, the same shall be deducted from the amount so payable under sub clause (i) and the balance thereafter shall be payable.

vi. If any suit, writ petition, appeal, revisions or other proceedings of whatever nature against the Company are filed by any of the said secured creditors, the same shall be withdrawn by or settled in terms of the arrangement of this clause by the respective litigants and shall not be proceeded against the Company.

vii. Upon settlement and payment of dues of the Secured Creditor/s in terms of sub clause (ii) above, the secured creditor shall release the existing charge, encumbrance, lien or the like, if any, on the properties and assets of the Company, and/or that of its guarantors and shall forthwith and concurrently handover the original legal documents evidencing and creating the said charge along with title deeds of the properties and assets of the Company or that of its guarantors, if any, held by them.

viii. Secured creditors, upon satisfaction of the respective settled amount in terms of above, shall execute the legal documents or the release deed for the aforesaid settlement, payment and release of charge, within 15 days there from.

ix. Notwithstanding anything above, the parties are at liberty to arrive at any other mutually agreed terms and conditions for the settlement and payment of dues.

B. UNSECURED CREDITORS

The dues of the Unsecured Creditors which includes operational creditors will be paid as under:

i. Balance outstanding as per the LOS as on cut-off date shall be treated as the crystallized amount. Such amount, as taken from the LOS, has been stated against the name of the respective 'Unsecured Creditors' in Annexure A to the Scheme.

ii. For Settlement and payment of crystallized amount as per sub clause B(i) above, no amount offered to the unsecured creditors since the admitted claims towards unsecured creditors is NIL.

iii. Other than the unsecured creditors mentioned in clause (i) above, unsecured creditors of the Company (within India or elsewhere) will be deemed to have been settled or waived off as per the above terms of the Scheme. Accordingly, any claim against the Guarantors, if any, relating to the claim, will also be discharged and the guarantee agreement, if any, shall stand terminated upon the implementation of the Scheme.

iv. Additionally, all proceedings against the Company, as on the cut-off date, by any unsecured creditor in any court of law / forum / panel of arbitrators or any other adjudicating authority in India or elsewhere will stand dismissed and no fresh / further proceedings can be commenced against the Company for any cause of action occurring on or before the date of the implementation of the Scheme. Therefore, the Guarantors, if any, relating to any litigation, shall also be discharged from any liability and the guarantee agreement, if any, shall stand terminated.

vii. Without prejudice, any adjudication of statutory dues which has been carried at ex-parte during the time of while the Company remained closed or with in the purview of the Liquidator, the same shall be set aside and be taken as and to the extent admitted by the Official Liquidator.

viii. Notwithstanding the above, parties are at liberty to arrive at any other mutually agreed to terms and conditions for the settlement and payment of dues.

D. WORKMEN AND EMPLOYEES

The dues of the Workmen and Employees will be paid as under:

i. Balance outstanding as per the LOS as on cut-off date shall be treated as the crystallized amount. Such amount, as taken from the LOS, has been stated against the name of the respective 'Workmen and Employees' in Annexure A to the Scheme.

ii. Amount due and payable as per sub clause (i) shall be paid to the workmen and employees towards full and final settlement of their dues.

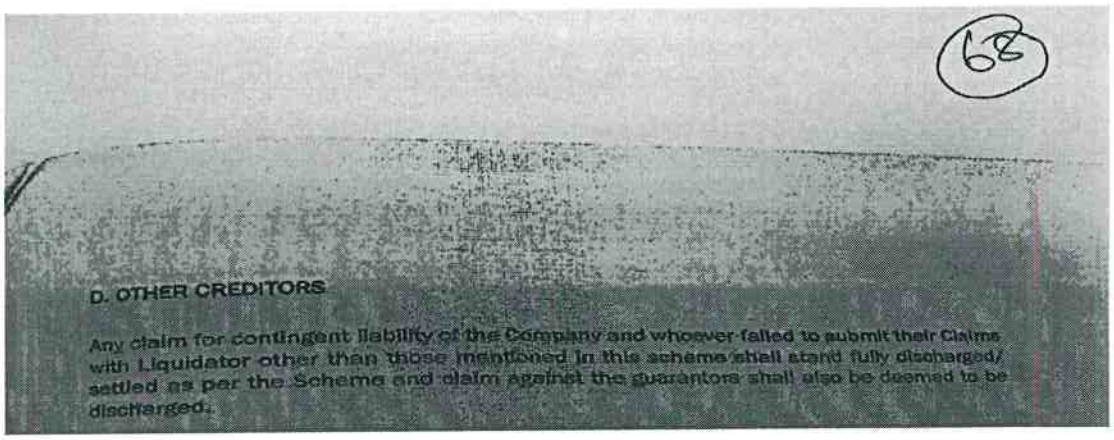
iii. Such sum shall be paid within 3 months from the date of effective date.

iv. If any amount that is paid by the Company or the liquidator or that has been appropriated by the any of the said 'other creditors' after the cut-off date, same shall be deducted from the amount so payable in terms of either of the chosen option; as per clause (ii) above and the balance thereafter alone shall be payable.

v. Upon settlement of dues of the workmen and employees in terms of the sub clause (i) above, all the rights of workmen and employees and all the obligations of the Company with respect to all or any of them arising out of, from or on account employment, terms related thereto and anything connected therewith or incidental thereto shall cease to exist and finally extinguished with effect from the cut-off date.

vi. Notwithstanding the above, parties are at liberty to arrive at any other mutually agreed to terms and conditions for the settlement and payment of dues.

vii. Any claim for contingent liability of the Company other than those mentioned in this scheme shall stand fully discharged/ settled as per the Scheme and claim against the guarantors shall also be deemed to be discharged.



68

D. OTHER CREDITORS

Any claim for contingent liability of the Company and whoever failed to submit their claims with Liquidator other than those mentioned in this scheme shall stand fully discharged/ settled as per the Scheme and claim against the guarantors shall also be deemed to be discharged.

ANNEXURE -A

LIST OF STAKEHOLDERS

S No	Name of Creditors	Admitted Amount In Rs. In Crores	Offred Amount under the Scheme In Rs Crores	Type of Creditor
1	Punjab National Bank	80.72	11.00	Secured Financial Creditor
2	Edelweiss Asset Reconstruction Company Limited	70.98	6.00	Secured Financial Creditor
3	Assistant Commissioner of GST and Central Excise	6.30 (under Consideration)	0.15	Statutory Creditor
4	Commercial Tax Department	18.80 (under Consideration)	0.15	Statutory Creditor
5	Unsecured Creditors	0.00	0.00	Unsecured
6	CIRP and Liquidation Cost	0.30	0.30	Priority

5.5 OBJECTION TO THE SCHEME IF ANY

As described in the Application filled by the Liquidator it is evident that the scheme proposed was unanimously approved by the Secured Financial Creditors and Members of the Corporate Debtor. However, the Tax Authorities have dissented to the proposed scheme. As discussed in earlier order in CA(CAA)/116/(CHE)/2021, it is significant to point out at this juncture that the Tax authorities who have dissented to the present Scheme, as per the distribution mechanism laid down in Section 53 of IBC, 2016 are ranking below the unsecured creditors and in the said circumstances, by taking into consideration the Liquidation value of the Corporate Debtor as Rs.12 Crore, then the amount payable to the said Tax authorities as per Section 53 of IBC, 2016 would be NIL. However, under the present Scheme, the Tax authorities are paid a sum of Rs.30 Lakh.

In this event, no such objections other than the IT Authorities have been raised moreover as held in, **"S. C. Sekaran v. Amit Gupta & Ors.** Company Appeal (AT) (Insolvency) Nos. 495 & 496 of 2018, it is held that,

18. During proceeding under Section 230, if any, objection is raised, it is open to the Adjudicating Authority (National Company Law Tribunal) which has power to pass order under Section 230 to overrule the objections, if the arrangement and scheme is beneficial for revival of the 'Corporate Debtor' (Company).

6. DISPOSITIVE REASONING OF THIS TRIBUNAL

6.1. The present Scheme is not filed purely under Section 230 of the Companies Act, 2013 it is also governed under Insolvency and Bankruptcy Code, 2016 and the attendant Regulations framed thereunder. The Hon'ble NCLAT after elaborately considering the provisions of the erstwhile provisions of Section 391 of the Companies Act, 1956 as well as the present Section 230 of the Companies Act, 2013 and the decided case laws of the Hon'ble Supreme Court in relation to the powers vested in this Tribunal under the provisions of the Companies Act, 2013 to consider and deal with a compromise or make arrangement that may be proposed with creditors and members of a company including in relation to a company in liquidation, had directed the liquidator in para 8 of in the matter of **"S.C. Sekaran v. Amit Gupta &Ors.** in *Company Appeal (AT) (Insolvency) Nos. 495 & 496 of 2018* as follows:

"8. In view of the provision of Section 230 and the decision of the Hon'ble Supreme Court in 'Meghal

> Homes Pvt. Ltd.' and 'Swiss Ribbons Pvt. Ltd.', we direct the 'Liquidator' to proceed in accordance with law. He will verify claims of all the creditors; take into custody and control of all the assets, property, effects and actionable claims of the 'corporate debtor', carry on the business of the 'corporate debtor' for its beneficial liquidation etc. as prescribed under Section 35 of the I&B Code. The Liquidator will access information under Section 33 and will consolidate the claim under Section 38 and after verification of claim in terms of Section 39 will either admit or reject the claim, as required under Section 40. Before taking steps to sell the assets of the 'corporate debtor(s)' (companies herein), the Liquidator will take steps in terms of Section 230 of the Companies Act, 2013. The Adjudicating Authority, if so required, will pass appropriate order. Only on failure of revival, the Adjudicating Authority and the Liquidator will first proceed with the sale of company's assets wholly and thereafter, if not possible to sell the company in part and in accordance with law."

6.2. Further, the Hon'ble NCLAT in the matter of **Y. Shivram Prasad -Vs- S. Dhanapal & Ors.** in *Company Appeal (AT)(Ins.) No. 224 of 2018* has chosen to issue guidelines on how to proceed, if a Scheme is contemplated under Section 230 of the Companies Act, 2013 gets placed before this Tribunal in relation to a Company in liquidation under IBC, 2016 and in para 18 and 19 has held as follows;

> 18. During proceeding under Section 230, if any, objection is raised, it is open to the Adjudicating Authority (National Company Law Tribunal) which has power to pass order under Section 230 to overrule the objections, if the arrangement and scheme is beneficial for revival of the 'Corporate Debtor' (Company). While passing such order, the Adjudicating Authority is to play dual role, one as the Adjudicating Authority in the matter of liquidation and

other as a Tribunal for passing order under Section 230 of the Companies Act, 2013. As the liquidation so taken up under the 'I&B Code', the arrangement of scheme should be in consonance with the statement and object of the 'I&B Code'. Meaning thereby, the scheme must ensure maximisation of the assets of the 'Corporate Debtor' and balance the stakeholders such as, the 'Financial Creditors', 'Operational Creditors', 'Secured Creditors' and 'Unsecured Creditors' without any discrimination. Before approval of an arrangement or Scheme, the Adjudicating Authority (National Company Law Tribunal) should follow the same principle and should allow the 'Liquidator' to constitute a 'Committee of Creditors' for its opinion to find out whether the arrangement of Scheme is viable, feasible and having appropriate financial matrix. It will be open for the Adjudicating Authority as a Tribunal to approve the arrangement or Scheme in spite of some irrelevant objections as may be raised by one or other creditor or member keeping in mind the object of the Insolvency and Bankruptcy Code, 2016.

19. In view of the observations aforesaid, we hold that the liquidator is required to act in terms of the aforesaid directions of the Appellate Tribunal and take steps under Section 230 of the Companies Act. If the members or the 'Corporate Debtor' or the 'creditors' or a class of creditors like 'Financial Creditor' or 'Operational Creditor' approach the company through the liquidator for compromise or arrangement by making proposal of payment to all the creditor(s), the Liquidator on behalf of the company will move an application under Section 230 of the Companies Act, 2013 before the Adjudicating Authority i.e. National Company Law Tribunal, Chennai Bench, in terms of the observations as made in above. On failure, as observed above, steps should be taken for outright sale of the 'Corporate Debtor' so as to enable the employees to continue.

6.3. Thus, in relation to the scheme proposed under Section 230 of the Companies Act, 2013 during the Liquidation of the Corporate Debtor, the Hon'ble NCLAT has held that this Tribunal is

required to play dual role, one as the Adjudicating Authority in the matter of liquidation and other as a Tribunal for passing order under Section 230 of the Companies Act, 2013. Accordingly, this Tribunal has put in its logical attempts and efforts in combining the provisions of these two statutes in perfect harmony.

6.4. Under IBC, 2016 for sanction of a Resolution Plan the mandate given is 66% to be voted in favour of the Plan. The Scheme as contemplated M/s. Everwin Textile Mills Private Limited and its Creditors and Members has already crossed the said threshold limit and presently holds 86.32% approval from the stakeholders.

6.5 This Tribunal at this juncture in the absence of definition of the term 'Scheme' either under the provisions of IBC, 2016 nor under the Companies Act, 2013, it is necessary for this Tribunal to resort to Section 232 of the Companies Act, 2013 to atleast discern the dimensions of the word 'Scheme' connotes in Corporate Law parlance and the relevant portion of Section 232 of the Companies Act, 2013 in this regard is reproduced, which is as follows;

> **232. Merger and amalgamation of companies.**— (1) Where an application is made to the Tribunal under section 230 for the sanctioning of a compromise or an arrangement proposed between a company and any such persons as are mentioned in that section, and it is shown to the Tribunal—
>
> (a) .....

> (b) that under the scheme, the whole or any part of the undertaking, property or liabilities of any company (hereinafter referred to as the transferor company) is required to be transferred to another company (hereinafter referred to as the transferee company), or is proposed to be divided among and transferred to two or more companies, the Tribunal may on such application, order a meeting of the creditors or class of creditors or the members or class of members, as the case may be, to be called, held and conducted in such manner as the Tribunal may direct and the provisions of sub-sections (3) to (6) of section 230 shall apply mutatis mutandis.

A perusal of the sub-section (1) of Section 232 of the Companies Act, 2013 clearly posits the fact that the Scheme can also include a transfer of whole or any part of undertaking or any part of property or liabilities of a Company.

6.6 At this juncture, it is relevant to refer to the decision of the Hon'ble Supreme Court in the matter of **Committee of Creditors of Essar Steel India Limited –Vs- Satish Kumar Gupta & Ors.** *in Civil Appeal No. 8766 – 67 of 2019* dated 15.11.2019, wherein at para 54 it had held as follows;

> "54. Indeed, if an "equality for all" approach recognizing the rights of different classes of creditors as part of an insolvency resolution process is adopted, secured financial creditors will, in many cases, be incentivized to vote for liquidation rather than resolution, as they would have better rights if the corporate debtor was to be liquidated rather than a resolution plan being approved. This would defeat the entire objective of the Code which is to first ensure that resolution of distressed assets takes place and only if the same is not possible should liquidation follow".

Again in para 56 and 57, it was held as follows;

> "56. .....The amended Regulation 38 set out in paragraph 77 again does not lead to the conclusion that financial and operational creditors, or secured and unsecured creditors, must be paid the same amounts, percentage wise, under the resolution plan before it can pass muster. Fair and equitable dealing of operational creditors' rights under the said Regulation involves the resolution plan stating as to how it has dealt with the interests of operational creditors, which is not the same thing as saying that they must be paid the same amount of their debt proportionately. Also, the fact that the operational creditors are given priority in payment over all financial creditors does not lead to the conclusion that such payment must necessarily be the same recovery percentage as financial creditors. So long as the provisions of the Code and the Regulations have been met, it is the commercial wisdom of the requisite majority of the Committee of Creditors which is to negotiate and accept a resolution plan, which may involve differential payment to different classes of creditors, together with negotiating with a prospective resolution applicant for better or different terms which may also involve differences in distribution of amounts between different classes of creditors."

> "57. .....Quite clearly, secured and unsecured financial creditors are differentiated when it comes to amounts to be paid under a resolution plan, together with what dissenting secured or unsecured financial creditors are to be paid. And, most importantly, operational creditors are separately viewed from these secured and unsecured financial creditors in S.No.5 of paragraph 7 of statutory Form H. Thus, it can be seen that the Code and the Regulations, read as a whole, together with the observations of expert bodies and this Court's judgment, all lead to the conclusion that the equality principle cannot be stretched to treating unequals equally, as that will destroy the very objective of the Code - to resolve stressed assets. Equitable treatment is to be accorded to each creditor depending upon the class to which it belongs: secured or unsecured, financial or operational".

6.7 Thus, it is a settled law that the Financial Creditors and the Operational Creditors cannot be treated on the same footing and moreover, the principle of equality cannot be stretched to treating unequals equally, as that will destroy the very objective of the Code. It is time and again reiterated by the Hon'ble Supreme Court that so long as the provisions of the Code and the Regulations have been met, it is the commercial wisdom of the requisite majority of the Committee of Creditors which is to negotiate and accept a resolution plan, which may involve differential payment to different classes of creditors, together with negotiating with a prospective resolution applicant for better or different terms which may also involve differences in distribution of amounts between different classes of creditors.

6.8 Further, it is necessary to refer to the decision of the Hon'ble Supreme Court in the matter of **Maharasthra Seamless Limited –Vs- Padmanabhan Venkatesh &Ors.** in *Civil Appeal No. 4242 of 2019* wherein at para 26 and 27 it has held as follows;

> "26. No provision in the Code or Regulations has been brought to our notice under which the bid of any Resolution Applicant has to match liquidation value arrived at in the manner provided in Clause 35 of the Insolvency and Bankruptcy Board of India (Insolvency Resolution Process for Corporate Persons) Regulations, 2016. This point has been dealt with in the case of Essar Steel (supra). We have quoted above the relevant passages from this judgment.

> 27. It appears to us that the object behind prescribing such valuation process is to assist the CoC to take decision on a resolution plan properly. Once, a resolution plan is approved by the CoC, the statutory mandate on the Adjudicating Authority under Section 31(1) of the Code is to ascertain that a resolution plan meets the requirement of sub-sections (2) and (4) of Section 30 thereof. We, per se, do not find any breach of the said provisions in the order of the Adjudicating Authority in approving the resolution plan."

6.9 Thus, as held by the Hon'ble Supreme Court, there is no provision in IBC, 2016 or in the Regulations which stipulates that the bid of the Resolution Applicant has to match the Liquidation value of the Corporate Debtor. However, in the present case, the value as proposed in the present Scheme is more than the Liquidation value.

6.10 It is made clear that the existing liability of the Corporate Debtor would stand extinguished upon payment of the entire amount as stipulated under the Scheme.

6.11 It is made clear that this Sanction of Scheme does not automatically construe that the approvals in relation to the statutory authorities or Government authorities is automatically granted. The Proponent shall apply for necessary approvals or for that matter before any statutory or government authorities in this regard, for any waiver or concessions as contemplated taking into account the decision of the Supreme Court in **Embassy Property Developments** *(supra)*.

6.12. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

7. Thus the Scheme of Arrangement i.e. a Scheme of Compromise between M/s. Everwin Textile Mills Private Limited with its respective creditors and members is hereby **Approved,** and is binding on the Corporate Debtor viz. M/s. Everwin Textile Mills Private Limited and all other stakeholders involved. The Liquidator is directed to file the certified copy of this order to the Registrar of Companies concerned for registration. As a consequence thereof, CP/(CAA)/18(CHE)/2022 stands **Allowed**.

-Sd-
B. ANIL KUMAR
MEMBER (TECHNICAL)

-Sd-
Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)

Mohan Priya R